

state and the Union (IGST)," explains Sameer Jain, Partner at PSL Advocates and Solicitors. This observation, therefore, expounds on the principle that the centre and the states need to work in a consultative manner to implement GST.

"The position concerning the GST regime remains unchanged. Article 246A of the Constitution vests the centre and the states with equal simultaneous legislative powers and this is neither subject to Article 279A (GST Council) nor does the latter override the former. Article 279A only prescribes a mechanism whereby the centre and the states collaborate to make recommendations," says Rajat Bose, Partner at Shardul Amarchand Mangaldas & Co., a law firm. "While it was and still is open for states to legislate on their state GST rates etc., the same has not been done till today with states respecting the principles of federalism to avoid chaos in the taxation framework."

The main question before the SC was whether the levy of GST, in addition to the customs duty already charged on the import of goods on a CIF basis, amounted to double taxation, thus creating a new levy not envisaged in the law. "It is in the context of answering the above questions that the Court examined the constitutionality and connected aspect of whether, by enacting a deeming fiction in law (a notification that allowed for importers to be treated as 'recipients'), the GST Council had undermined the power of the legislature. The court observed that the GST Council has powers to make recommendations, and Parliament and state legislatures have the power to either accept or reject them. The same Article, that is, 279A gives the Council power to settle disputes," says Mahesh Jaising, Partner & Leader for Indirect Tax at Deloitte India.

Ever since its roll-out on July 1, 2017, GST has often been hailed as the biggest tax reform in the country since Independence. In the five

No Cause for Concern

➤ On May 19, a Supreme Court bench led by Justice D.Y. Chandrachud remarked that the recommendations of the GST Council were persuasive in nature and, thus, not binding on the centre and the states

➤ The apex court's judgement in the Union of India vs. Mohit Minerals case does not alter the GST regime, say experts

➤ The court merely observed that the GST Council has powers to make recommendations while Parliament and state legislatures have the power to either accept or reject them

➤ GST has helped in digitalisation of the economy, improving compliances and driven up tax collections

➤ Freight costs for several sectors including agriculture, automobiles, ceramics, textiles, pharmaceuticals and consumer goods have reduced after GST roll-out

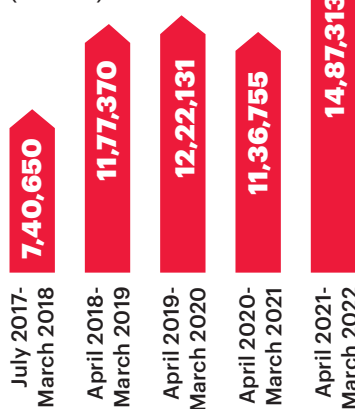
➤ Any effort to now alter the GST regime will be widely resisted by the beneficiaries, including industry



Up, Up and Away

GST collections are going up, with the April 2022 mop-up at ₹1.68 lakh crore

GST COLLECTION
(₹ crore)



Source: CMIE Economic Outlook

GRAPHICS BY TANMOY CHAKRABORTY

